



AI



OpenAI to launch AI data center in Norway, its first in Europe

OpenAI said Thursday that it plans to launch Stargate Norway, its first AI data center in Europe, in partnership with British AI cloud infrastructure provider Nscale and Norwegian energy infrastructure firm Aker.

Nscale will design and build the site, and it will be a 50/50 joint venture between the two companies. OpenAI will be an “off-taker” in the project, buying capacity from the data center.

The announcement comes as Europe races to achieve AI sovereignty and invest in data centers and compute power. Earlier this week, the bloc unveiled details of its [multibillion-dollar investment](#) into AI infrastructure, including €10 billion (\$11.8 billion) to set up 13 AI factories and €20 billion as an initial investment in the factories. Data sovereignty is key to that mission, due to the sensitive nature of business and government data.

IMAGE CREDITS:

Nscale and OpenAI told TechCrunch that Stargate Norway isn't a part of the European Union's plans to scale AI at home. Nscale CEO Josh Payne [told CNBC](#) that part of the purpose of this project is to “leverage European sovereign compute” for the benefit of the continent. Norway's AI ecosystem, like startups and scientific researchers, will get priority access to the center.

CNBC also reported that Nscale and Aker have each committed around \$1 billion to the initial 20 megawatt (MW) phase of the project. OpenAI says Stargate Norway will initially deliver 230 MW capacity, with plans to expand to 290 MW, and will run on 100,000 Nvidia GPUs by the end of 2026.

The site will be located near Narvik, a small town in northern Norway. OpenAI said in [a blog post](#) the region is notable for its access to hydropower, a cool climate, and a “mature industrial base.”

“The facility will run entirely on renewable power and is expected to incorporate closed-loop, direct-to-chip liquid cooling to ensure maximum cooling efficiency,” said OpenAI.

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“Additionally, excess heat from the GPU systems will be made available to support low-carbon enterprises in the region.”

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Per the [EU AI Act](#), which took effect in August 2024 and bans systems with “unacceptable risk,” companies building data centers must take steps to protect the environment and be transparent about the energy consumption of AI models. Additionally, the bloc’s Energy Efficiency Directive emphasizes energy efficiency in the ICT sector, which includes data centers. The directive also directs data centers exceeding certain energy input thresholds to recover waste heat.

The Stargate Norway announcement comes seven months after OpenAI announced it would [invest \\$500 billion](#) into 10 gigawatts of AI infrastructure in the United States over the next four years, in partnership with [Oracle](#) and SoftBank. The deal also follows the launch of [Stargate UAE](#) earlier this year, and a recently [signed deal with the U.K. government](#) to accelerate AI adoption and boost infrastructure.

This article was updated to clarify that Stargate Norway is separate from the EU’s investment into AI infrastructure.

Topics: [AI](#) [ai sovereignty](#) [aker](#) [data centers](#) [Norway](#) [nscale](#)

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Rebecca Bellan

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Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk’s broader empire, autonomy, AI, electrification, g...

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OpenAI teams up with SoftBank and Oracle on \$500B data center project

Kyle Wiggers — 3:08 PM PST · January 21, 2025

IMAGE CREDITS:

JAKUB PORZYCKI/NURPHOTO / GETTY IMAGES

OpenAI says that it will team up with Japanese conglomerate SoftBank and with Oracle, among others, to build multiple data centers for AI in the U.S.

The joint venture, called the Stargate Project, will begin with a large data center project in Texas and eventually expand to

other states. The companies expect to commit \$100 billion to Stargate initially and pour up to \$500 billion into the venture over the next four years.

They promise it will create “hundreds of thousands” of jobs and “secure American leadership in AI.”

“The Stargate Project is a new company which intends to [build] new AI infrastructure for OpenAI in the United States,” OpenAI, Oracle, and SoftBank said in a joint [statement](#). “This project will not only support the re-industrialization of the United States but also provide a strategic capability to protect the national security of America and its allies.”

The companies made the announcement during a press conference at the White House on Tuesday, where President Donald Trump spoke about plans for investment in U.S. infrastructure. SoftBank chief Masayoshi Son, OpenAI CEO Sam Altman, and Oracle co-founder Larry Ellison were in attendance.

Microsoft is also involved in Stargate as a tech partner. So are Arm and Nvidia. Middle East AI fund MGX will join SoftBank in its investment; MGX’s [first public deal](#) was an investment in OpenAI.

SoftBank, OpenAI, and Oracle are also listed as “initial equity investors” in Stargate.



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“SoftBank and OpenAI are the lead partners for Stargate, with SoftBank having financial responsibility and OpenAI having operational responsibility,” the statement continued. “Masayoshi Son will be the chairman [of Stargate] ... As part of Stargate, Oracle, Nvidia, and OpenAI will closely collaborate to build and operate this computing system.”

The data centers could house chips designed by OpenAI someday. The company is [said to be aggressively building out a team](#) of chip designers and engineers, and working with semiconductor firms Broadcom and TSMC to create an AI chip for running models that could arrive as soon as 2026.

SoftBank is already an investor in OpenAI, having [reportedly](#) committed \$500 million toward the AI startup’s [last funding round](#) and an [additional](#) \$1.5 billion to allow OpenAI staff to sell shares in a tender offer. Oracle, meanwhile, has an ongoing [deal](#) with OpenAI to supply AI computing resources.

SoftBank also [earlier pledged](#) to invest \$100 billion in the U.S. over the next four years. Son and Trump have had a close working relationship since 2016, during Trump’s first term, when Son announced that SoftBank would invest \$50 billion in U.S. startups and create 50,000 jobs.

The Information previously [reported](#) that OpenAI was negotiating with Oracle to lease an entire data center in Abilene, Texas — a data center that could reach nearly a gigawatt of electricity by mid-2026. (A gigawatt is enough to power roughly 750,000 small homes.) Data center startup [Crusoe Energy](#) was said to be [involved](#) in the project, which was estimated to cost around \$3.4 billion.

That Abilene site will be Stargate’s first site, and OpenAI says that Stargate is “evaluating potential sites across the country for more campuses as [it finalizes] definitive agreements.” By 2029, Stargate could scale up to 20 data center installations.

“Each building is a half a million square feet,” Ellison said during the briefing. “There are 10 buildings currently being built.”

It’s unclear what connection, if any, Stargate has to a rumored partnership between Microsoft and OpenAI to spin up a \$100 billion supercomputer. TechCrunch has reached out to OpenAI for additional information.

Last year, The Information [reported](#) that Microsoft and OpenAI would build a series of data centers for AI beginning in five stages over the next several years, culminating in Stargate: a 5-gigawatt facility spanning several hundred acres of land. Stargate was expected to take between five and six years to complete, according to The Information. In the lead-up to its completion, Microsoft had reportedly planned to launch a smaller-scope data center for OpenAI around 2026.

A number of tech leaders have called for the U.S. to up its investment in data centers, particularly as the AI industry continues to grow at an explosive pace. AI systems require enormous server banks to develop and run at scale.

Goldman Sachs [estimates](#) that AI will represent about 19% of data center power demand by 2028. OpenAI has [blamed](#) a lack of available compute for delaying its products, and compute capacity has reportedly become a source of [tension](#) between the AI company and Microsoft, its close collaborator and major investor.

Microsoft, which recently announced it is on track to spend \$80 billion on AI data centers, said in a recent [blog post](#) that the company's success depends on "new partnerships founded on large-scale infrastructure investments." In an [interview](#) with Bloomberg, Altman said that he believes it is urgent that what he perceives as barriers to building additional data center infrastructure in the U.S. be cleared.

"The thing I really deeply agree with [President Trump] on is, it is wild how difficult it has become to build things in the United States," Altman said in that interview. "Power plants, data centers, any of that kind of stuff. I understand how bureaucratic cruft builds up, but it's not helpful to the country in general."

Massive data center projects have vocal critics who say that data centers often create [fewer jobs](#) than [promised](#) and tend to have severe environmental impacts. Data centers are typically water hungry, placing a strain on regions with insufficient water resources, and their high power requirements have forced some utilities to lean heavily on fossil fuels.

Those concerns don't appear to be slowing investments any. Per a McKinsey [report](#), capital spending on procurement and

installation of mechanical and electrical systems for data centers could eclipse \$250 billion in the next five years.

In January, Trump announced that Hussain Sajwani, an Emirati billionaire businessman who founded the property development giant DAMAC Properties, [will invest](#) \$20 billion in new data centers across the U.S. Industry insiders have expressed skepticism of the [deal's concreteness](#), however.

Separately, Microsoft and investor BlackRock last September [formed a group](#), the Global Artificial Intelligence Infrastructure Investment Partnership (GAIIIP), to pull together up to \$100 billion to develop data centers for AI and the infrastructure to power them. Other participants in GAIIIP include MGX and infrastructure investor Global Infrastructure Partners.

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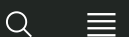




IMAGE CREDITS:

DAVID PAUL MORRIS / BLOOMBERG / GETTY IMAGES

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OpenAI agreed to pay Oracle \$30B a year for data center services

Julie Bort — 1:36 PM PDT · July 22, 2025

OpenAI was the company that signed a \$30 billion per year deal with Oracle for data center services, disclosed last month, [The Wall Street Journal](#) reported on Monday. Now, OpenAI CEO Sam Altman has confirmed the details of the contract (but not the dollar amount) in [an X post](#) on Tuesday and in [a company blog post](#).

To recap, on June 30, Oracle disclosed in [an SEC filing](#) that it had signed a cloud deal that would generate \$30 billion a year in revenue. However, the company didn't say who it was with or for what services. The news caused Oracle's stock to hit an all-time high, making its founder and CTO, Larry Ellison, the second richest person in the world, [according to Bloomberg](#).

Speculation [on the identity](#) of the customer ensued as people wondered what company could possibly need a fresh \$30 billion a year in data center services. For comparison, Oracle collectively sold \$24.5 billion worth of cloud services in its fiscal 2025 to all customers combined, [it reported](#) in June.

OpenAI has now explained that this Oracle deal is for 4.5 gigawatts of capacity as part of Stargate, the \$500 billion data-center-building project OpenAI, Oracle, [and SoftBank announced in January](#). (Apparently, the \$30 billion deal does not involve SoftBank.)

The WSJ reports 4.5 gigawatts is the equivalent of two Hoover Dams, enough power for about four million homes.

This isn't a straightforward win for Oracle. OpenAI and Oracle still have to build this monster data center, which will be a costly endeavor, both in cash and in energy. They are doing so at what OpenAI called the Stargate I site in Abilene, Texas.

Meanwhile, Oracle spent \$21.2 billion on capital expenditures in its last fiscal year, CEO Safra Catz [reported in June](#), and it expects to spend another \$25 billion this year, she said. So, nearly \$50 billion, largely spent on data centers (and that doesn't include land purchases, she said) in two years. Although, to be clear, that money also supports Oracle's existing customers, in addition to OpenAI's demands.

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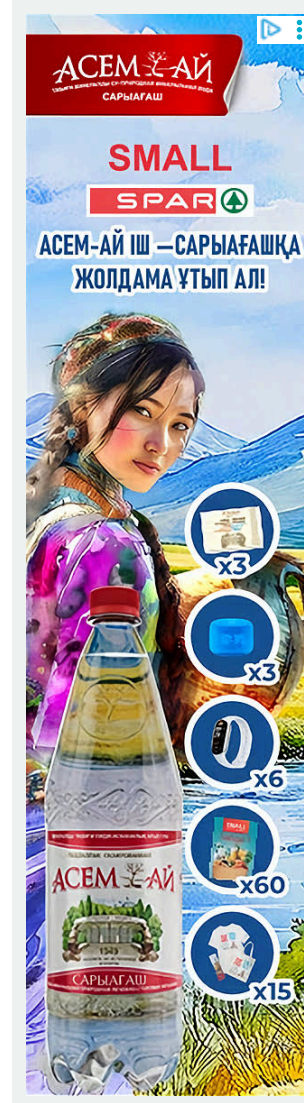
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One final interesting part to note about all of this: Last month, Altman said that OpenAI [recently hit \\$10 billion](#) in annual recurring revenue, up from around \$5.5 billion last year. This single commitment to Oracle is already triple per year what it is currently bringing in and doesn't include all of the company's other expenses, including its current data center commitments.



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SoftBank in talks to invest as much as \$25B in OpenAI, report says

SoftBank is in talks to invest up to \$25 billion in OpenAI as part of a broader partnership that could see the Japanese conglomerate spend more than \$40 billion on AI initiatives with the Microsoft-backed startup, [according](#) to the Financial Times.

The potential investment would make SoftBank OpenAI's largest single backer, the report said, surpassing Microsoft, which first invested in the ChatGPT maker in 2019. The deal comes after both companies announced last week they would [jointly invest \\$100 billion in Stargate](#), a U.S. data center project for OpenAI that could expand to \$500 billion over four years.

SoftBank plans to invest \$15 billion to \$25 billion directly into OpenAI in addition to its \$15 billion Stargate commitment, the report said. OpenAI will invest around \$15 billion in Stargate, with SoftBank's equity investment potentially covering OpenAI's infrastructure commitment.

The talks come at a time when Chinese firm DeepSeek's release of its R1 "reasoning" model, which was built on a relatively modest budget, rattled public markets this week.

The chip giant Nvidia lost as much as \$589 billion in a day before making a slight recovery, as investors worried that big investments in expensive AI hardware might not be necessary if companies could achieve similar results with fewer resources.

OpenAI claimed earlier this week that it had found evidence that DeepSeek used OpenAI's proprietary models to train R1 and other models through a technique called "distillation," which allows developers to achieve similar performance with smaller models at a much lower cost. The company says this would violate its terms of service, which prohibit using outputs to develop competing models.



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OpenAI's deal with SoftBank, which Financial Times says hasn't been finalized, represents SoftBank founder Masayoshi Son's biggest bet since injecting \$16 billion into WeWork. It would also reduce OpenAI's dependence on Microsoft for computing resources, with Microsoft [recently agreeing to give up](#) its position as OpenAI's exclusive cloud provider.

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Around 20% of Stargate's funding is expected to be equity, with the remainder financed through debt secured against assets and cash flow, the report said. OpenAI, which reached a \$157 billion valuation last year, is also negotiating to become a for-profit company to facilitate additional fundraising.

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